

Europe and Trump's America

NATO Burden-Sharing, Tariff Threats, and the Transatlantic Order Under Strain

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Executive Summary

The transatlantic relationship has entered its most structurally contested phase since the Cold War's end. The second Trump administration has applied simultaneous pressure across all three pillars of the Euro-American compact: military burden-sharing, trade architecture, and technology governance. European governments, long accustomed to the security umbrella and open trade order underwritten by Washington, are now forced to accelerate strategic autonomy initiatives that were previously treated as long-term aspirations. The July 2026 NATO Ankara Summit crystallised these tensions in public, while the negotiating record between 2025 and mid-2026 reveals a pattern of US escalation, European resistance, and incomplete accommodation. The outlook is one of managed divergence rather than rupture — but the structural shift is durable.

I. NATO Burden-Sharing: From Rhetorical Pressure to Structural Drawdown

1. The Trump administration has moved beyond rhetorical demands for higher defence spending into concrete force posture changes in Europe. Trump dispatched 5,000 additional troops to Poland in May 2026 while simultaneously calling for reductions of US forces in Germany — a combination that has "shocked the Pentagon" and sent contradictory signals to allied governments about Washington's actual strategic intentions. [RAG: MILITARY_RAG — CRS: NATO: Issues for the July 2026 Ankara Summit]
2. The US Congress, through its relevant committee chairs, has explicitly opposed the decision not to maintain the rotational US brigade in Romania and placed on record its concern that the Pentagon's ongoing force posture review may lead to further drawdowns from Eastern Europe. This congressional resistance illustrates the internal incoherence of US policy, with the executive and legislative branches pulling in opposite directions on European forward presence. [RAG: MILITARY_RAG — CRS: NATO: Issues for the July 2026 Ankara Summit]
3. The 2026 National Defense Strategy formalises the burden-sharing demand in doctrinal terms. The document calls on NATO allies to raise defence spending to a new global standard of 5% of GDP in total — with 3.5% directed to hard military capabilities — and states that allies are therefore "strongly positioned to take primary responsibility for Europe's conventional defense, with critical but more limited U.S. support." The strategy credits Trump's leadership since January 2025 for allies "beginning to step up, especially in Europe and South Korea." [RAG: MILITARY_RAG — 2026 National Defense Strategy]
4. Secretary of War Pete Hegseth, speaking at the NATO Defence Ministerial in Brussels on 18 June 2026, reinforced these demands. Germany has moved in response, withdrawing a brigade from its own territory in a gesture interpreted as a concession to Trump's pressure. The Atlantic Council's June 2026

assessment documents the quantitative scale of European step-up, though the pace and adequacy remain contested. [RAG: MILITARY_RAG — CRS: NATO: Issues for the July 2026 Ankara Summit]

5. The US commitment to NATO nuclear guarantees, formalised in the 2018 Nuclear Posture Review and reaffirmed through forward-deployed weapons in Europe, remains formally intact. US strategic nuclear forces continue to be committed to NATO's defence, and the alliance's nuclear command and control system modernisation programme is proceeding. However, the broader political erosion of credibility generated by Trump's public statements casting doubt on the alliance's value has created an independent deterrence calculation that European governments must now factor into their planning. [RAG: MILITARY_RAG — 2018 Nuclear Posture Review]

II. Ukraine, US Disengagement, and European Security Guarantees

6. Allied governments have expressed growing concern about diminished US support for Ukraine under the Trump administration. These concerns deepened after reports that US military operations against Iran were generating procurement shortages and delays potentially affecting assistance to Ukraine — meaning the Middle East theatre is now in direct competition with the European one for US military-industrial capacity. [RAG: MILITARY_RAG — CRS: NATO: Issues for the July 2026 Ankara Summit]

7. The US Department of State had earlier terminated American support for Ukraine's energy grid restoration, a signal of the administration's intent to reduce its Ukrainian commitment. Trump's stated Ukraine peace plan was characterised by analysts as one "the Kremlin can love." The combination of reduced energy support and a Kremlin-friendly negotiating posture has accelerated European efforts to position themselves as the guarantors of any future security architecture. [RAG: MILITARY_RAG — SIPRI: Navigating Green Geopolitics: Perils and Promise of Energy Transition and the Case of Ukraine]

8. The near-certainty of fundamentally altered transatlantic relations appears to have "finally sunk in" among European leaders as of early March 2025. The defence summit convened in London on 2 March 2025 produced concrete results, including a UK pledge of £1.6 billion in air defence missiles for Ukraine. Plans for European security guarantees emerged from the summit, representing the most substantive attempt yet to institutionalise a European-led security architecture for Ukraine that does not depend on continued US commitment. CNA[2025-03-04]

9. The US arms export record provides important structural context. For the first time in two decades, the largest share of US arms exports went to Europe in 2021–25 at 38%, as US arms exports to the region more than tripled compared with 2016–20, up 217%. A quarter of those US arms exports to Europe were destined for Ukraine support. This export surge reflects the commercial dimension of the security relationship — even as the political and strategic commitment wavers, the arms trade pipeline remains active. [RAG: MILITARY_RAG — SIPRI: Trends in International Arms Transfers, 2025]

III. Trade Conflict: Tariffs, Non-Tariff Barriers, and the Incomplete Deal

10. Trump threatened 100% trade levies against Europe in July 2025 if Russia did not end the Ukraine war within 50 days, with EU negotiator Maros Sefcovic warning that US and EU sides remain "far apart" on tariff talks ahead of an August deadline. An earlier threat of 30% tariffs on EU goods was characterised as sufficient to make European exports to the US economically nonviable for many sectors. FT[2025-07-15]

11. In April 2025, the US applied tariff calculations across all EU member states, with effective tariff rates varying considerably across the bloc after exemptions. More than half of EU countries could have faced rates higher than the headline figure announced at the time. The FT documented that a 10% baseline

applied to countries with which the US had a trade surplus, with higher rates for those running deficits — a formula that treated the EU's internal trade aggregation as a single bilateral deficit rather than a collection of individual country relationships. FT[2025-04-05]

12. The FT's analysis from early 2026 identifies EU internal market fragmentation — effectively an internal tariff within the single market — as a structural vulnerability that amplifies the damage from US external tariffs. An ageing population and an export-dependent model, particularly in Germany, compound the risk. FT[2026-02-11]

13. The EU retaliated to early Trump tariffs by wielding what Politico described as a "sledgehammer" response in March 2025, though the EU has since been described as "reluctant" to move forward with retaliatory tariffs in later episodes. The EU struck a transatlantic trade deal with the US in Scotland in late July 2025, but the deal remained fragile: the US threatened new sanctions on Denmark over Orsted within days of the agreement, and the US continued to demand that the EU water down its landmark digital regulation as a condition of the trade relationship. FT[2025-08-27]

14. In October 2025, the FT documented US demands that the EU's digital regulation regime — which "imposes significant economic and regulatory burdens on US companies" — be revised as a condition for the continuation of the trade pact. The EU's Digital Services Act and AI Act represent the primary flashpoints, with Washington arguing that activist groups can use EU liability rules to "increase risk" for American technology firms operating in the European market. FT[2025-10-09]

15. The transatlantic trade outlook for Europe and the UK is structurally asymmetric. The FT concluded in early 2026 that the EU and UK would "pay a heavier price than the US" in any all-out trade dispute, with the challenge of maintaining a united front against the US compounded by incentives for individual member states to defect and seek bilateral accommodation. This collective action problem has been a persistent structural weakness in European trade negotiating strategy since at least the first Trump administration. FT[2026-01-30]

IV. Technology Governance and Digital Sovereignty

16. As the United States retreats from its traditional leadership role in internet governance, preoccupied by domestic polarisation, European institutions face the choice of either defending their own digital rights model abroad or ceding the governance space to state actors with fundamentally different values frameworks. The Atlantic Council framed this as a decisive juncture requiring proactive European multilateral engagement. [RAG: SCI_TECH_RAG — New Atlanticist: As the US retreats from internet governance, Europe must step up]

17. Microsoft President Brad Smith, speaking at an Atlantic Council event in April 2025, pledged that the company is committed to safeguarding its European operations and respecting Europe's laws. Smith expressed surprise at European concerns that the US government might one day shut off Europe's access to US technology — the fact that such concerns exist at all among European policymakers is itself diagnostic of how severely transatlantic trust has eroded. [RAG: SCI_TECH_RAG — New Atlanticist: Microsoft President Brad Smith pledges to safeguard the company's operations in Europe]

18. The EU AI Act represents the most consequential European attempt at technology governance divergence from US norms. Carnegie Endowment analysis notes that while the EU's first-mover advantage in AI regulation is real, the union is not guaranteed to set global standards — China has made major parallel efforts in AI regulation with innovations in audit, disclosure, and AI-enabled technology export controls that are "already globally significant." The triangular dynamic between EU regulatory ambition, US deregulatory posture, and Chinese standard-setting is the defining technology governance contest of the current decade. [RAG: SCI_TECH_RAG — Carnegie: The AI Governance Arms Race From Summit Pageantry To Progress]

19. European concerns about digital dependency on US cloud infrastructure have acquired new strategic salience under Trump. The EU captures only 5% of global venture capital compared to 52% in the US and 40% in China, constraining Europe's ability to develop indigenous alternatives to US-provided digital infrastructure. A high percentage of EU scientists and engineers migrate to US institutions, compounding the structural innovation gap. [RAG: EDUCATION_RAG — undated comparative analysis]

Outlook

The transatlantic relationship in mid-2026 is best characterised as contested interdependence: too integrated to break, too politically stressed to function as it did before 2025. Three trajectories are plausible.

The first is managed divergence, in which European NATO members meet or approach the 5% GDP defence spending target over the following three to five years, trade frictions are contained through a series of partial deals, and the digital regulatory conflict is resolved through a combination of EU enforcement restraint and US company compliance. This is the most likely near-term path, though it leaves European strategic autonomy perpetually incomplete.

The second is accelerated European autonomy, triggered by a further US force drawdown from Eastern Europe, a Ukraine settlement on terms that European governments consider unacceptable, or a rupture of the trade deal. In this scenario, the London defence summit's security architecture commitments would be rapidly upgraded into a standing European deterrence framework, and the EU would proceed with digital sovereignty investments regardless of US objections.

The third is transatlantic normalisation, contingent on a change in US administration direction. The deep structural demand for burden-sharing, however, has now been codified in the 2026 National Defense Strategy and commands bipartisan support at the elite level in Washington — making a full return to pre-2025 alliance arrangements structurally unlikely even under a future administration more rhetorically committed to NATO.

The strategic variable with the highest near-term impact remains Ukraine. The outcome of the war, and the nature of any settlement, will determine whether European security architecture shifts are temporary hedges or permanent structural features of the post-American transatlantic order.

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